

BOARD / INVESTOR BRIEFING

The Idle-Capacity Pitch: A Reality Check

Why a consultant-led push into stainless and duplex castings is the wrong bet, at the wrong time — and what to fund instead

What a consultant has proposed — stated plainly

THE CLAIM

Datre is using only 30-35% of its 7,000 MT melting capacity — 'less than one-third of the productive infrastructure you have already built and paid for.'

THE OPPORTUNITY

Current products realise ~₹180-280/kg. Stainless, duplex stainless and special-alloy castings for Oil & Gas, Marine and Petrochemical customers realise ~₹400-2,500/kg.

THE ASK

A ₹3.5-5.5 Cr capex programme — AOD converter for duplex chemistry control, OES spectrometer upgrade, NDT equipment, new pattern sets — plus a one-year advisory engagement to manage vendor selection and open OEM/PSU doors.

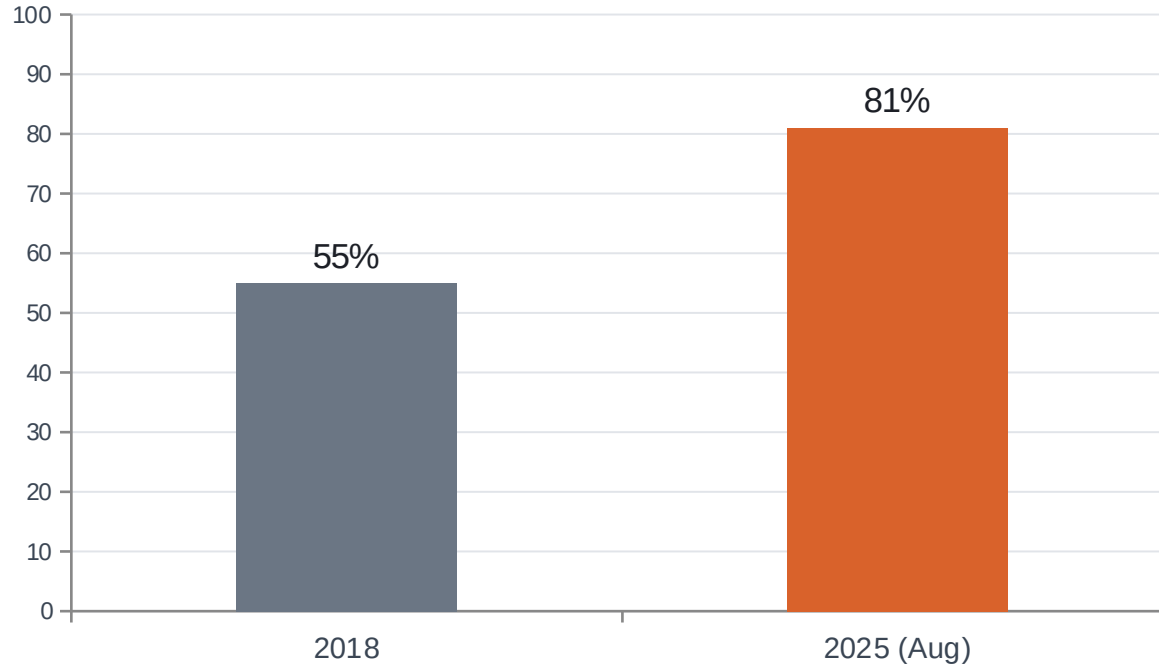
THE FRAMING

Fast, low-risk margin and turnover improvement, from capacity you already own.

Their claim, point by point, against Datre's own record

Consultant's claim	Datre's reality	Verdict
Only 30-35% of melting capacity is used — capacity is idle.	Real utilization is ~81% (Aug 2025), up from ~55% (2018). Their ratio uses melting tonnage; the plant's actual bottleneck is heat-treatment and fettling time.	WRONG DENOMINATOR
Existing infrastructure — 'your EAFs' — can already produce stainless and duplex castings.	Datre melts on induction furnaces, not EAFs. Their own scope of work asks for a new AOD converter specifically to control duplex chemistry — equipment Datre doesn't have.	CONTRADICTS ITSELF
This is a fast, low-risk margin and turnover improvement.	Datre's comparable Komatsu qualification took four years and still awaits its first purchase order. NACE/API/Marine approval in an unfamiliar alloy is not faster.	OVERSTATED
A large global O&G/Marine market means a large opportunity for Datre.	Being qualified isn't the same as winning volume against incumbents who already hold the safety-critical track record buyers require — the same moat logic that protects Datre today.	UNADDRESSED
₹3.5-5.5 Cr is a capital-efficient way to unlock value already built.	That's 2-3x all of FY 2025-26 capex and 14-21% of FY 2025-26 revenue — proposed the same year net worth first turned positive and Q1 FY 2026-27 revenue fell 42% YoY.	MISTIMED

The capacity isn't idle — the metric is



Datre's own internal utilization tracking (MIS records) — the same figures behind the investor deck's SWOT and moat analysis.

WHY THE CONSULTANT'S NUMBER IS MISLEADING, NOT JUST WRONG

- '30-35% of melting capacity' is a crude tonnes-melted-over-7,000-MT-nameplate ratio. It can look low for a genuinely good reason: Datre's product mix has shifted toward thinner, more heavily heat-treated, higher-value-add castings — less tonnage per unit of revenue, not less work.
- The real constraint the business already tracks is heat-treatment and fettling dwell time — not melting tonnage. That is the bottleneck running at ~81%.
- A firm that visited the plant and did real diligence should have surfaced this distinction, not led with the more dramatic denominator.

REALITY CHECK — THE CONTRADICTION

“Already capable” and “needs new capex” can't both be true

WHAT THE PITCH SAYS TO CREATE URGENCY

- “The infrastructure you already possess — your EAFs, your moulding lines, your heat treatment furnaces — is capable of producing stainless steel, duplex stainless steel, and special alloy castings.”
- Datre does not run EAFs. Melting is on induction furnaces (3-ton, 3-ton, 0.5-ton). A basic fact about the plant, stated wrong.

WHAT THE SAME PROPOSAL'S SCOPE ACTUALLY ASKS FOR

- An AOD converter, specifically “for Duplex chemistry control” — new equipment Datre does not have.
- An OES spectrometer upgrade and new NDT equipment — again, new capability, not existing capacity.
- ₹3.5-5.5 Cr to build this — the proposal's own number.

If new refining equipment is required to even control the chemistry, this is not a capacity-utilization fix — it is a new metallurgical product line, priced and risked accordingly.

“Fast” is not a word Datre's own track record supports

1 The internal benchmark is four years

Datre's own recently concluded Komatsu Himi Plant (Japan) qualification — in a product family Datre already knows — took four years of audits before a direct contract was even signed. NACE MR0175, API 6A/6D and Lloyd's/DNV-GL Marine approvals, in an alloy family Datre has never produced, are not a shorter path.

2 This is a different metallurgical domain

Datre's moat is 25-30 years of heat-treatment know-how in high-chrome and CrMo alloys for wear and impact resistance. Corrosion-resistant duplex chemistry for oil & gas valve bodies is a different skill set, different failure mode, different customer qualification standard.

3 The talent constraint doesn't relax

Datre's own documented hardest constraint is attracting specialised metallurgical talent to a semi-rural site — the same constraint that shaped 25 years of building expertise from the base up. It applies at least as hard to an unfamiliar chemistry as to the one Datre already knows.

Even qualified, Datre would be the new entrant — not the incumbent

1 The moat that protects Datre today works against Datre here

This deck's own argument for Datre's existing business is that buyers won't risk requalifying an unproven supplier for a safety- or reliability-critical component, no matter the price. In stainless and duplex castings for Oil & Gas and Marine, that exact dynamic protects the established suppliers IOCL, BPCL, HPCL, ONGC and their EPC contractors already rely on — and it would work against Datre as the unproven new source.

2 Qualification has not equalled orders even where Datre already fits

Datre's own Komatsu experience is the live proof: four years of audits, a direct contract now signed — and the purchase order for trial supplies is still awaited. That is in a product family close to what Datre already builds. A stainless/duplex entry starts further back, against a global field of incumbents with decades of field history in that specific alloy.

3 A big global market is not the same as a big addressable one

'Oil & Gas, LNG, Marine and Petrochemical' is presented as the market size. The proposal never sizes what share of it a newly-qualified mid-sized Indian foundry, with zero track record in this alloy family, could realistically win against established domestic and international specialty casters already serving those buyers.

A ₹400-2,500/kg realisation that looks free for the taking usually isn't. The premium exists because incumbents have already cleared the exact barrier this deck describes as Datre's own moat.

REALITY CHECK — THE BALANCE SHEET

₹3.5-5.5 Cr, at the exact moment the balance sheet can least absorb it

2-3x

The consultant's capex ask against Datre's entire FY 2025-26 capital expenditure (₹1.82 Cr)

14-21%

The same ask as a share of FY 2025-26 total revenue (₹25.74 Cr)

₹1.82 Cr ≈ ₹1.82 Cr

FY 2025-26 capex almost exactly equalled FY 2025-26 net profit — this year's cash generation is already fully committed

1st year

Since accumulated losses were fully set off — net worth has been positive for one year, not a decade

THE POINT

This capex cannot be funded from this year's cash flow — it was already spent building heat-treatment and testing capacity in the business Datre already runs. A new, unfamiliar-domain product line at this scale would need external financing, precisely when the Board's own stated priority — in the going-concern note and the investor deck's Investment Considerations — is balance-sheet repair and working-capital support, not a new capital programme. Q1 FY 2026-27 revenue is also down 42% year-on-year, which is the wrong backdrop against which to lever up for an unproven line.

THE ALTERNATIVE

The same moat, already converting — at a fraction of the risk

RDSO fresh registration

Cast-steel bogie components (side frames, bolsters, CASNUB) — approval-gated demand, inside Datre's existing RDSO 'A' accreditation, no new metallurgy.

Komatsu Himi Plant (Japan)

Four-year qualification concluded, direct contract executed. The purchase order for trial supplies is the next step — the moment to focus, not dilute, management attention.

Sona Comstar

Revised coupler pricing already concluded this year — margin captured with no new capex, no new qualification.

Tega Industries

New Combi Mill Liner casting, successful field trial in Sweden, repeat orders under discussion — same high-chrome expertise Datre has run for years.

Thejo Engineering

Brazil field trials encouraging, potential five-year fixed-term OEM contract — again, inside the existing product and metallurgy base.

RECOMMENDATION

Don't fund the pivot. Fund what's already converting.

1 Do not approve the consultant-led stainless/duplex capex now

The premise (idle capacity) doesn't hold up against Datre's own data, and the scope quietly admits it needs new metallurgical capability, not a capacity switch.

2 Direct capital to balance-sheet repair and the existing pipeline first

RDSO registration, the Komatsu order conversion, and scaling the Tega/Thejo relationships all use the moat Datre already has, at a fraction of the capital and qualification risk.

3 If diversification into new alloy families is ever pursued

Run it on Datre's own diligence timeline, competitively bid rather than sole-sourced to a firm that mis-stated the plant's own furnace type and utilization, and sized so it doesn't outrun the balance sheet.

The urgency in the consultant's proposal is theirs, not the business's. Datre's own pipeline is already converting on its own moat — the discipline now is to finish that, not to start a new one.